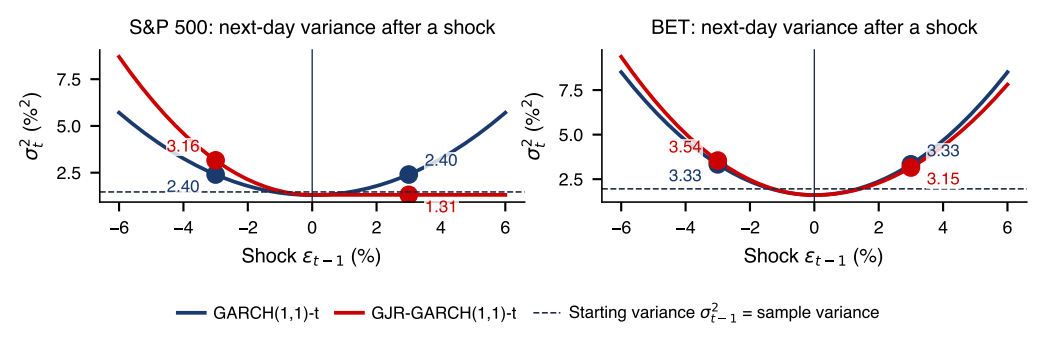
S&P 500: next-day variance after a shock
BET: next-day variance after a shock
σ_t^2 (%^{2})
7.5
5.0
2.5
3.16
2.40
2.40
1.31
3.54
3.33
3.33
3.15
−6
−4
−2
0
2
4
6
Shock ε_{t-1} (%)
GARCH(1,1)-t
GJR-GARCH(1,1)-t
Starting variance σ^2_{t-1} = sample variance